MITSUBISHI HC CAPITAL CANADA

AITC Program

Training Guide | December 2025

Agenda

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2. Program Overview
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4. Frequently Asked Questions

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Strategy
and Objectives

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Behind this initiative

We aim to align with MHCCA's MTMP by leveraging partnerships with trusted dealers and partners to deliver tailored financing solutions that reinforce long-term relationships and positioning MHCCA for sustainable growth.

Drives Growth
Target Atlantic regions and qualifying industries to capture growth opportunities.

Differentiates MHCCA in the Market
Positions us as a flexible, solutions-oriented partner, competing on innovation and service.

Profitability While Supporting Clients
Applying the tax credit upfront provides immediate financial relief to customers, while MHCCA claims the credit later, maintaining profitability.

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Program Overview

General Program
Overview

Purpose

The Atlantic Investment Tax Credit (AITC) program enables MHCCA to offer clients whose purchases qualify a simple and competitive financing solution that applies the tax credit upfront, reducing their initial cost. By structuring leases to incorporate the credit, MHCCA strengthens its ability to win deals, remain competitive in targeted regions and industries, and capture additional market share.

Model

The AITC Program allows MHCCA to apply the 10% federal tax credit immediately as a cash down payment on Day 1 of the lease. MHCCA then claims the tax credit later through its corporate tax filings with the CRA. If, for any reason, the credit cannot be recovered (e.g., client non-compliance or audit issues), the lease agreement includes an appendix stating that the client will reimburse the amount. This approach provides clients with instant financial relief while MHCCA manages the recovery process and maintains profitability.

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Qualifying Regions, Industries, and Equipment

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Eligible Clients

- Businesses operating in Atlantic Canada or the Gaspé Peninsula (Québec)
- Engaged in qualifying industries:
  - Farming
  - Fishing
  - Logging
  - Manufacturing & Processing
  - Grain Storage
  - Peat Harvesting
  - Energy Generation & Conservation

Eligible Transactions

- New equipment only (not used or refurbished)
- Equipment used more than 50% in qualifying activities
- Located and operated in eligible regions

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Roles
and Responsabilities

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Sales Team	• Confirm eligibility with Accounting before submitting for credit approval. • Clearly communicate upfront payment structure (tax credit + any cash down) to clients. • Ensure correct program selection in Vision (AITC). • Request manual flag creation in Buyout tool after funding. • Add required notes in payment history before sharing with clients.
Credit Team	• Issue conditional approval if Accounting confirmation is pending. • Apply 10% tax credit as cash down in approval terms. • Ensure compliance with minimum lease term (24 months).
Accounting	• Validate transaction eligibility under AITC criteria. • Record tax credit amount in General Ledger at booking. • Claim credit through MHCCA tax filings and update InfoLease once received. • Manage denied claims and follow up as needed.
Operations	• Verify eligibility confirmation and correct program selection. • Confirm appendix inclusion in lease agreement (under MHCCA). • Communicate funding instructions (credit amount, taxes, payment breakdown).
Customer Service	• Add manual flag in Buyout Tool for AITC files. • Provide accurate buyout and balance calculations considering AITC status. • Double-check buyout before sending to clients. • Add required notes in payment history before sharing with clients.

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General Process
Overview

1. KYC & Initial Assessment

Sales conducts full KYC and checks if the transaction likely qualifies for AITC.

2. Eligibility Confirmation

Sales submits eligibility request to Accounting via Jira (region, industry, equipment details).

3. Credit Approval

Credit issues conditional approval if Accounting confirmation is pending or final approval once confirmed.

4. Documentation

Ensure correct AITC program selection in Vision, include the appendix in the lease agreement, and apply the 10% tax credit as cash down.

5. Validation

Validation proceed with full file validation. Advise Accounting of the Tax Credit Amount and amount to PAP.

6. Booking & Funding

Accounting books transaction under MHCCA, records credit amount in GL, and releases funding.

7. Manual Flag Creation

Sales sends a request to Customer Service to create a flag in the Buyout Tool to identify the contract for buyouts and payment history.

8. Claim & Post-Funding Monitoring

MHCCA claims credit via CRA filings; Accounting updates InfoLease once credit is received; Customer Service handles buyouts and balances.

Sales Procedure

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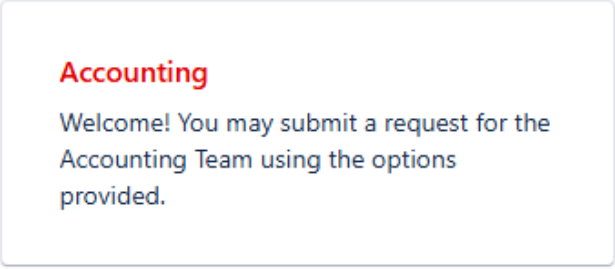
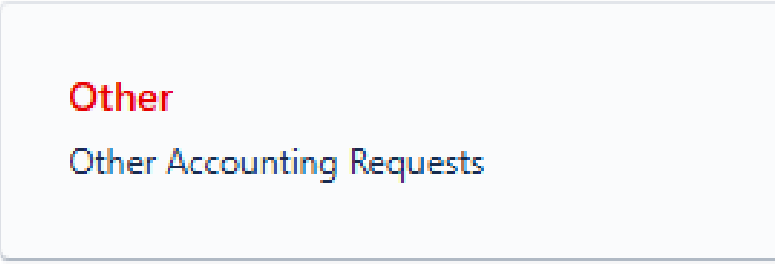
1. Eligibility Confirmation Request

- Submit eligibility confirmation request to Accounting via Jira and communicate Accounting's confirmation to Credit.

This request must be submitted via the Jira portal, under the Accounting, Other section. The title should start with AITC.





The eligibility confirmation request must include :

- the company registry : the industry sector
- Lesse's name
- Equipment details
- the primary location where the equipment will be used
- the use of equipment (activities)

To qualify, the new equipment must be operated in eligible regions and used more than 50% in qualifying activities. This step ensures the transaction meets both the geographic and activity-based criteria of the AITC program.

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Sales Procedure

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2. Documentation

- Document the transaction under MHCCA.
- Include the *Atlantic Investment Tax Credit Appendix* in the lease agreement.
- Reflect 10% tax credit as cash down in the structure, as a step payment (first lease payment).
- Select AITC program in Vision (standard or subsidized).

3. Funding Instructions

- Clearly indicate that it is an AITC deal when sending a file for validation. Please include Accounting eligibility confirmation in your funding package.
- Also inform Sales Support of the following amounts:
  - Do **not** collect the 10% cash down payment (covered by the tax credit).
  - Collect sales taxes on the tax credit upfront

4. Manual Flag Request

- Once you receive the funding notice, request Customer Service to add Buyout Tool flag:

  AITC Program: For any buyout and payment history request, refer to section 7.6 of the AITC Procedure.
- Submit request by email to: service@mhccna.com, the email title should start with ***AITC Flag Creation Request***, and please mention the app number in the request.

4. Payment History Note

Add mandatory note before providing any payment history to client:

The first payment shown in this Payment History reflects a tax credit equal to ten percent (10%) of the equipment cost, which has been applied toward the payment. If MHCCA does not receive the tax credit, the amount corresponding to this credit will be added to subsequent payments, in accordance with the Atlantic Investment Tax Credit Appendix, which is executed and forms an integral part of the Equipment Lease Agreement.

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Credit Procedure

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1. Approval Process

- Sales will indicate if the deal qualifies for AITC and include 10% cash down in the credit request.
- If eligibility confirmation from Accounting is attached → issue final approval.
- If not attached → issue conditional approval until confirmation is received.

2. Approval Content

- Include 10% cash down representing the tax credit.
  - If a 10% cash down is normally required, the credit covers it.
  - If more than 10% is required, client pays the difference (e.g., 15% → 10% credit + 5% client cash down, credit should approve with a 15% cash down).
- Approve transaction under an AITC program in Vision (standard or subsidized).

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Operations Procedure

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1. AITC-Specific Validations

- ✓ Eligibility Confirmation: Verify Accounting approval for AITC eligibility.
- ✓ Program Selection: Confirm transaction in Vision is booked under an AITC program.
- ✓ Documentation: Ensure lease agreement includes Atlantic Investment Tax Credit Appendix, and that the contract is documented under MHCCA. The Tax Credit amount should be entered as Step Payment (first lease payment).

2. Funding Instructions

- Communicate clearly to Accounting via the booking screen comment in Vision:
  - ➢ 10% tax credit applied as cash down (should not be PAP)
  - ➢ Applicable taxes on credit amount (should be paid upfront by client).
  - ➢ Any other amounts to be collected, detailed to avoid ambiguity.

The booking screen comment should look like the following:

AITC
PAP: $ of tx, Other amount to pap if any
TAX CREDIT: $

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Accounting Procedure

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1. Eligibility Validation
- Confirm each transaction meets AITC program criteria.
- Track validation in **Jira** for transparency and accountability.
- Reassess eligibility if changes occur (e.g., asset replacement, client change).

2. Booking & Funding
- Process transactions once V1 and V2 are completed.
- Book and disburse funds.
- Record tax credit in GL account 1827 (InfoLease) during funding.
- Ensure Net Fund GL field reflects credit amount before taxes (tax portion paid upfront by client).

3. Claim & Reconciliation
- Claim credit through MHCCA tax filings with CRA.
- Reconcile AITC contracts with credits received for accurate reporting.
- Add note in InfoLease in the client's file once the tax credit is received under the department *ACCOUNTING DEPARTMENT* : ***AITC – CREDIT RECEIVED (contract number)***

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Customer Service Procedure

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1. Client Support

- Understand basic AITC principles to answer general inquiries.
- Redirect specific questions to the assigned Account Manager.

2. Buyout Tool Flag

- Add manual flag for AITC files when requested by Sales:

  AITC Program: For any buyout and payment history request, refer to section 7.6 of the AITC Procedure.
- Ensure flag is present to enable correct buyout and payment schedule processing.

3. Payment History Note

Add mandatory note before providing any payment history to client:

The first payment shown in this Payment History reflects a tax credit equal to ten percent (10%) of the equipment cost, which has been applied toward the payment. If MHCCA does not receive the tax credit, the amount corresponding to this credit will be added to subsequent payments, in accordance with the Atlantic Investment Tax Credit Appendix, which is executed and forms an integral part of the Equipment Lease Agreement.

Le premier versement indiqué dans cet Historique de paiement reflète un crédit d'impôt équivalent à dix pour cent (10 %) du coût de l'équipement, qui a été appliqué au versement. Si MHCCA ne reçoit pas le crédit d'impôt, le montant correspondant à ce crédit va être ajouté aux versements suivants, conformément à l'Annexe - Crédit d'impôt à l'investissement dans la région de l'Atlantique, laquelle est signée et fait partie intégrante du contrat de crédit-bail.

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4. Contract Balance Requests

- Verify if credit has been received by checking if the following comment is in the client's InfoLease notes:

  AITC – CREDIT RECEIVED (contract number)

  To make it easier to locate the comment, you can filter the notes by department by selecting *ACCOUNTING DEPARTMENT* from the dropdown list.

- If the is credit not received (there is no note from accounting), calculate balance using standard method + add 10% of equipment cost (before taxes), the equipment cost is specified in the contract, in the *Atlantic Investment Tax Credit Appendix*
- Perform double verification with another Customer Service agent before sending balance to client.

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Frequently Asked Questions

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What is the AITC Program?
A federal initiative offering a 10% tax credit on new equipment in eligible regions and industries.

Who qualifies?
Businesses in Atlantic Canada or Gaspé Peninsula using new equipment >50% in qualifying activities.

How is the credit applied?
As a 10% cash down on the first lease payment; MHCCA claims the credit later.

What happens if the credit is denied?
The appendix in the lease agreement allows MHCCA to recover the amount from the client.

Are used or refurbished assets eligible?
No, only brand-new equipment qualifies.

If a contract includes two or more assets and only one qualifies for the AITC program, how is the tax credit calculated?
The credit will be equal to 10% of the cost of the qualifying equipment only.

What happens if Credit approves the transaction with a higher cash down requirement?
The client must pay upfront the difference between the required cash down and the tax credit amount.

If a customer requests a buyout before MHCCA has received the tax credit, we add the amount of the tax credit to their balance. **If the customer asks why this amount appears in the balance**, please refer them to point 4 of the Atlantic Investment Tax Credit Appendix, which states that this amount will be charged to the customer in the event that we do not receive the credit.

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02

Appendix

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Pricing Grid

This pricing grid applies to the standard AITC program.

The subsidized AITC programs use the same rate sheet as the subsidized non-AITC programs.

- 384 AITC - Standard
- 387 AITC – Hyundai
- 388 AITC - Develon
- 389 AITC - Sany
- 390 AITC - Liugong
- 391 AITC - LBX

New/Used Range	CR1	CR2	CR3	CR4	CR5
30,000 – 100,000	7.49 %	7.49 %	8.99 %	12.75 %	20.25 %
100,000 – 500,000	6.49 %	6.49 %	8.25 %	11.99 %	19.25 %

750$ documentation fees

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Buyout Manual Adjustment

To be performed by Customer Service, if the credit has not been received.

Manual adjustments

Discounted Rate	0.025	
End of Term Fees	125	$
Late fees	0	$
Days Interest	30	
Adjustment	12500	$
Reason *	AITC	

Recalculate

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Have Questions? Contact Us

Lauralie Lemire Nantais
Business Partner, Strategic Initiatives
Email: llemire@mhccna.com
Mobile: +1 514-269-5262

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